



Trader Kane's Playbook

SMT Divergence + PO3 (power of 3)

Instruments: **Futures** **Crypto**

Trading Style: **Scalping** **Day Trading**

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Playbook Overview

This strategy is built around the idea that price often returns to the 50% level of a previous price range before continuing in the direction of the broader trend. The model focuses on moments when price manipulates a key high or low, then quickly reverses back into the range, offering a high-probability entry with clearly defined risk.

The strategy follows a top-down approach — starting from the Daily chart, moving to the 4H, then the 1H, and finally using the intraday chart for precise entries. A high-probability setup forms when all these timeframes align around a key 50% level, and a reversal structure is confirmed.

It uses the Power of Three (PO3) structure, accumulation, manipulation, and distribution, to frame market behavior. It relies on tools like SMT divergence (between NQ and ES) and inversion zones to time trades.

The goal is not to catch full trend moves. Instead, the focus is on consistent, repeatable base hits, capturing the cleanest part of the move back into the 50% level. If the trade continues beyond the target, that's a bonus — but the model is designed to take high-quality setups with tight risk and fast execution, day after day.



When to Use This Strategy

Use this strategy when:

- You see a clean trend on the higher timeframe.
- Price has pulled back and is trading near the 50% level of a key range.
- A liquidity sweep or manipulation has occurred at a key time (typically around 10:00 AM EST).
- You see a clear SMT divergence between NQ and ES (they don't make the same highs or lows).
- You spot an inversion zone or fair value gap that the price is reacting to.

The Core Idea

The model is built around the Power of Three (PO3) — a 3-phase structure that appears in price action:

- **Accumulation** — Price trades sideways and builds a range.
- **Manipulation** — Price sweeps liquidity above or below that range.
- **Distribution** — Price reverses and delivers back into the 50% area.

You're not trying to catch the full trend. You're just trading the manipulation back into the 50% zone.

Timeframes Used

This strategy uses a top-down approach to build bias and a lower timeframe to execute entries:

- Daily** Spot the previous day's high or low and mark the 50% level of large ranges. This gives you your directional bias and target area.
- 4H** Identify the midpoint of recent swings and check for PO3 structure (accumulation → manipulation → distribution). You want to see if the price is setting up for a reversal or continuation.
- 1H** Look for alignment with Daily and 4H. PO3 structure should also be visible here. SMT divergence between NQ and ES usually appears around this timeframe.

Intraday

(Entry Timeframe): Once the higher timeframes line up, use the intraday chart to time your entry. Look for a clean breakdown or reset of the inversion zone, often following SMT confirmation.